FINANCING THE RAILWAYS

By the time Dalhousie became the Governor-General in 1847, India was crying for progress. It was Dalhousie's vision that unfolded a master plan for public works, irrigation, communications, agriculture, transportation, including the railways. The Government's financial inadequacies, however, seemed to pose a roadblock.

To attract much-needed private capital for projects, newly formed railway committees agreed that a guarantee of high returns from the Government might help with their financial woes. The Government, however, believed that free grants of land would be sufficient incentive to attract private capital, and was unwilling to guarantee dividends to railway entrepreneurs. It, however, wished to retain the powers of supervision, inspection, and regulation of profits of the developers.

Many of these conditions were not acceptable to the investors as they found it extremely difficult to raise funds without Government guarantees. These disagreements led to prolonged discussions, delaying the projects.

Discussions and resolutions

In 1846, British railway engineer Sir Rowland Macdonald Stephenson presented definite proposals for the East Indian Railway (EIR) Company to the Government. The Court of Directors of the East India Company (EIC), however, were not prepared to agree to the terms, which included more than a 4 per cent return on invested capital up to £5 million to EIR, at an average cost of £15,000 per mile, with equal profit-sharing with the developer. The investors did not find this acceptable and the proposal fell through.

American cotton supplies for British mills had substantially dwindled and the Chambers of Commerce at Manchester and Glasgow, pressed for early construction of railways in India to facilitate the export of